OREGON ACCOUNTING MANUAL

DAS DEPARTMENT OF ADMINISTRATIVE SERVICES STATEWIDE POLICY	NUMBER 45.07.00	SUPERSEDES 45.07.00 dated 02/01/2002
	EFFECTIVE DATE 11/12/2025	PAGE NUMBER Pages 1 of 4
Division **Chief Financial Office**	REFERENCE/AUTHORITY ORS 291.015 ORS 292.010 ORS 292.016 ORS 292.022 ORS 292.036 ORS 293.295 ORS 293.590 ORS 652.120 Designated CHRO Policies	
Policy Owner Office of the State Controller | Oregon Statewide Payroll Services (OSPS)		
SUBJECT Payroll – Time Record Approval and Leave Report Review	APPROVED SIGNATURE ***Kate Nass, Chief Financial Officer*** ***Approval on file***	

PURPOSE
This policy establishes standards of accountability and internal controls to ensure that agency management review and approve time records for appropriate pay and use of leave balances.

APPLICABILITY
This policy applies to all state agencies that are subject to the Oregon Accounting Manual (OAM), as outlined in OAM 01.05.00 *Introduction: Scope and Applicability*.

FORMS/EXHIBITS/INSTRUCTIONS
None.

DEFINITIONS
Refer to OAM 65.00.00 *Glossary* for definitions.

EXCLUSIONS AND SPECIAL SITUATIONS
None.

POLICY:

101. Agency heads will create, maintain and administer written policies and procedures that ensure conformance to this policy, DAS Chief Human Resources Office (CHRO) policies and, if applicable, collective bargaining agreement provisions that address employee pay.

102. State employees are expected to prepare accurate and timely documentation of their time and attendance dependent upon their status under the Fair Labor Standards Act (FLSA). State HR Policy 20.005.20, Fair Labor Standards Act, provides guidelines for application of the FLSA. Employees are

classified in the state's HR and payroll information system, Workday, as either non-exempt or exempt from the FLSA. The requirement to report actual hours worked or the eligibility for compensatory time or overtime is dependent upon the FLSA status or the collective bargaining agreements for represented employees.

a. Other than requests for time off, FLSA exempt employees that are unrepresented, management service or unclassified service are not required to submit time unless:

- There are exceptions to the employee's regular pay (leave without pay, working on a holiday, overtime, etc.)

- The employee's time must be applied to certain cost centers beyond the employee's default cost center.

- Their agency otherwise requires it.

103. The supervisor is responsible for the review and approval of all employee time records. Even if employees do not enter their time, it is the responsibility of the supervisor to enter time on behalf of their employees to ensure that all their employees are paid timely and accurately. Similarly, if employees have entered but not submitted their time, it is the responsibility of the supervisor to approve, enter, adjust, or submit their employees' time as necessary to ensure all their employees are paid timely and accurately. Supervisors ensure that time records are reviewed timely in accordance with the state's official payroll calendar or any applicable agency-specific payroll processing calendar.

104. It is strongly recommended that employees submit their time (as necessary under paragraph 102) and supervisors review and approve their employees' time on a weekly basis, at the conclusion of the employees' work week.

105. The accuracy of paychecks and payroll-related payments as well as the data integrity of leave balances and associated accounting transactions are dependent on the accuracy of the time and attendance records. Agencies are required to review and approve the time data that becomes the basis for the payroll expenditure. Payroll transactions are the same as other agency expenditures and require the application of the same standards of internal control. Refer to Chapter 10 of the OAM. The approval must occur within the timekeeping system used by the agency, which for most agencies is Workday.

106. Agency management is responsible for ensuring that alternate or delegate reviewers are identified and properly authorized to approve employees' time records when their direct supervisors are absent from work or otherwise unable to do so.

107. Time records that have not been reviewed and approved can introduce erroneous data into the state payroll and accounting systems and cause unauthorized expenditures of state funds. Failure to review and approve time records is an inappropriate action by a person responsible for authorizing the expenditure. Agency management should apply the same standards and penalties for failure to review and approve time records as those included in OAM 10.40.00, *Internal Control: Expenditures*, in the section titled Penalties for Inappropriate Action.

PROCEDURES:

108. Payroll for salaried employees is processed based on a forecast of the hours the employee is expected to work in the monthly Run 1. The purpose of processing the monthly Run 2 is to refine the forecasted data from Run 1 by incorporating actual time and leave records. Hourly employees are paid from Run 1

and Run 2 based on the hours recorded on their timesheet. The Bureau of Labor and Industries clarifies that even when an employee does not submit a time report, the employer must pay the employee their anticipated hours worked, ensuring that no more than 35 days lapse between time worked and payday. Therefore, it is the supervisor's responsibility that all of their employees' time is entered correctly, even if the supervisor must enter time on behalf of the employee. Supervisors must also approve, enter, adjust or submit employees' time when it is entered but not submitted by the employee to ensure timely and accurate payment of wages.

109. To properly approve an employee's time, supervisors must review all entries on the employee's time record. It is strongly recommended that such review and approval occur weekly, at the conclusion of the employee's work week. The review shall consider each time element reported as well as time elements not reported. If errors are detected on the time record, the supervisor must coordinate with the employee to correct the time record timely according to the payroll calendar. The supervisory review should consider:

   a. <u>Regular hours.</u> Time that the employee is actually on the job is regular hours and may have the addition of differentials or other added pay components. The supervisor must ensure the accuracy of this time.

   b. <u>Vacation hours</u>. Review the time record for the presence or absence of vacation hours consistent with supervisor-approved hours the employee used. Review this time to ensure consistency with Statewide HR Policy 60.000.05, *Vacation Leave*, and any applicable collective bargaining agreements.

   c. <u>Sick leave hours.</u> Review the time record for the presence or absence of sick leave hours consistent with actual hours the employee used. Review this time to ensure consistency with Statewide HR Policy 60.000.01, *Sick Leave with Pay*, and any applicable collective bargaining agreements.

   d. <u>Holiday hours.</u> While Workday or the agency's timekeeping system forecasts holiday time based on an employee's work schedule, review those days for time actually worked on the holiday and any applicable premiums. Additionally, for those employees who work a schedule other than an eight-hour day, the holiday entries should be reviewed for the addition of vacation hours or compensatory time added to the allowable holiday hours to fill the deficit between the holiday hours allowed and the scheduled hours. Review this time to ensure consistency with Statewide HR Policy 60.010.01, *Holiday Leave with Pay*, and any applicable collective bargaining agreements.

   e. <u>Special paid leave and personal business</u>. Review the time record for the presence or absence of these leave hours consistent with supervisor-approved hours the employee used. Review this time to ensure consistency with Statewide HR Policy 60.000.10, *Special Leaves with Pay*, or any applicable collective bargaining agreements.

   f. <u>Exceptional performance leave or recognition leave pay.</u> This leave shall be granted using the criteria set forth in Statewide HR Policy 60.000.10, *Special Leaves with Pay*. Agencies shall follow this policy when reviewing and approving such leave.

   g. <u>Leave without pay (LWOP)</u>. In the forecast payroll environment, leave without pay can result in an overpayment of wages or benefits to the employee. Hours that an employee does not work where the employee does not have leave balances or compensatory time balance to use becomes leave without pay and reduces the employee's salary. Review the time record to ensure the presence of these hours when applicable. Further, supervisors have a responsibility to report occurrences of leave without pay to their agency payroll office as soon as they become aware of them. Supervisors can prevent an overpayment by logging the LWOP hours before the Run 1 payroll. Review this time to ensure consistency with Statewide HR Policies 60.000.11, *Leaves without Pay;* 60.000.12, *Statutorily Required Leaves With and Without Pay*, 60.000.30, *Expression of Milk and Unpaid Rest Periods*, and any applicable collective bargaining agreements. Refer to paragraph 111 of this policy when an overpayment of wages or benefits occurs.

h. Overtime or compensatory time accrued. Review the time record for the presence or absence of these hours consistent with agency-specific overtime authorization. Review this time to ensure consistency with Statewide HR Policy 20.005.20, *Fair Labor Standards Act (FLSA)*, and any applicable FLSA laws and collective bargaining agreements.

i. Shift differential. Review the time record for the presence or absence of these hours based on the employee's approved work schedule. Review this time to ensure consistency with Statewide HR Policy 20.005.10, *Pay Practices*, and applicable collective bargaining agreements.

j. Other situations. Supervisors should coordinate with their agency HR and payroll staff for assistance and clarification of the appropriate pay codes to use in special situations or occurrences. These situations include military leave, jury duty, workers' compensation claims, Family Medical Leave, employees returning to work on light duty, time off for union business, employees whose hours qualify under a return-to-work agreement, situations of paid leave pending an investigation or other occasional situations. Review the time record for the presence or absence of these pay codes and hours. The following statewide HR policies provide guidance on these leaves: 60.000.10, *Special Leaves with Pay*; 60.000.12, *Statutorily Required Leaves With and Without Pay*; 60.000.15, *Federal Family and Medical Leave Act (FMLA)*; 60.000.20, *Alternate Leave Provisions*; 60.000.25, *Military Leave*; and 60.015.01, *Temporary Interruption of Employment*. Some of these leaves are governed by collective bargaining agreements and some require coordination with the agency HR office.

k. Changes and adjustments. Supervisors are responsible for ensuring that any prior month time adjustments or corrections are reported to the agency payroll office as soon as detected.

110. When an employee is regularly reporting leave without pay due to insufficient balances of leave available to support days away from work and this results in more than one occurrence of overpayment, the agency must take immediate action to prevent a recurrence of the overpaid status and to protect against losses or costly collection procedures.

111. When an overpayment of wages or benefits to an employee occurs, agencies shall follow the provisions of OAM 45.50.00 *Payroll: Collection of Overpayment of Wages* and OAM 45.55.00 *Payroll: Collection of Employee Benefit Payment Amounts Paid by the Employer*, as applicable to the source of the overpayment.